Legal Brief: The Tiger Global Tax Dispute and the Shift in India's Treaty Abuse Jurisprudence

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Case Name: *Authority for Advance Rulings v. Tiger Global International II Holdings* (Supreme Court of India, January 2026) **Subject:** Cross-Border Taxation, General Anti-Avoidance Rule (GAAR), Treaty Shopping, and Indirect Transfers

Introduction and Executive Summary

The Supreme Court of India's January 2026 judgment in the *Tiger Global* case represents a watershed moment in international tax law, fundamentally recalibrating how offshore investment structures are evaluated in India. By denying capital gains tax exemption to a multi-tiered private equity fund structure, the Court signaled a decisive shift away from form-based treaty interpretations toward a strict, substance-oriented scrutiny. The ruling effectively dismantles the long-standing assumption that holding a valid Tax Residency Certificate (TRC) is an absolute shield against tax avoidance inquiries, replacing it with the economic substance doctrine and the General Anti-Avoidance Rule (GAAR).

The Factual Matrix: Structure, Investment, and Exit

The controversy originated from the global acquisition of Flipkart by US retail giant Walmart in 2018. The taxpayer in this dispute comprised three Mauritius-incorporated holding companies (Tiger Global International II, III, and IV Holdings). These entities were part of a larger, multi-tiered offshore structure originating from the US-based Tiger Global Management LLC, managed by Charles Coleman, and channeled through Cayman Island investment partnerships.

Between 2011 and 2015, the Mauritian entities acquired shares in Flipkart Singapore Pte. Ltd., which served as an intermediate holding company deriving substantial value from assets located in India. During the 2018 Walmart acquisition, Tiger Global sold its shares in Flipkart Singapore for approximately $1.6 billion. Because Flipkart Singapore's value was intrinsically linked to its underlying Indian operations, the transaction triggered capital gains tax in India under domestic "offshore indirect transfer" rules. To avoid this liability, Tiger Global claimed an exemption under Article 13(4) of the India-Mauritius Double Taxation Avoidance Agreement (DTAA), asserting that the right to tax the capital gains rested exclusively with its state of residence, Mauritius.

The Judicial Journey: From the AAR to the High Court

When Tiger Global approached the Authority for Advance Rulings (AAR) to secure an affirmation of their treaty position, the revenue authorities presented extensive fact-finding tracing the ultimate control back to the United States. The AAR ruled against the taxpayer, introducing the concept of the "hidden brain" of an entity. It found that while the Mauritian companies possessed local directors, an office, and valid Global Business Licenses, the actual commercial control resided with the US manager, Charles Coleman. Crucially, Coleman held exclusive signing authority for all bank transactions exceeding $250,000, which led the AAR to conclude that the local Mauritian directors were mere conduits or "puppets," and effective management lay outside Mauritius.

The taxpayer found temporary reprieve at the Delhi High Court, which overturned the AAR's decision by leaning heavily on the landmark *Vodafone* precedent. The High Court affirmed that a parent company or global management firm exercising broad supervisory control over its subsidiaries does not strip those subsidiaries of their independent legal existence. Furthermore, the High Court observed that the decision to grant financial signing authority to Charles Coleman was taken collectively by the Mauritian board of directors. The Court viewed this as a valid exercise of corporate governance rather than an abdication of control, thereby upholding the sanctity of the Mauritian board and its eligibility for treaty benefits.

The Supreme Court's Landmark Reversal

The legal equilibrium was shattered when the matter reached the Supreme Court. The apex court decisively reversed the High Court's findings, characterizing the complex, multi-tiered corporate structure as an "impermissible avoidance arrangement" primarily designed to circumvent Indian taxes. By invoking GAAR and judicial anti-avoidance principles, the Court pierced the corporate veil to find that the Mauritian entities lacked demonstrable commercial substance.

In reaching its conclusion, the Supreme Court disrupted several foundational tenets of Indian international tax law. Most notably, the Court distinguished the seminal 2003 *Azadi Bachao Andolan* ruling. For over two decades, *Azadi Bachao* stood for the principle that a valid TRC was conclusive evidence of tax residency, effectively preventing the revenue department from looking behind the certificate. The Supreme Court curtailed this protection by holding that *Azadi Bachao* was applicable strictly in the context of Foreign Portfolio Investors (FPIs). For Foreign Direct Investments (FDI) utilizing layered offshore structures, the Court ruled that a TRC is merely an eligibility condition, not an absolute guarantee against GAAR or substantive scrutiny.

The Court also waded into controversial interpretive territory regarding the text of the India-Mauritius treaty itself. It made a far-reaching observation that the grandfathering protections and capital gains exemptions under Article 13(4) apply only to the *direct* transfer of Indian shares, not to the indirect transfer of shares of a foreign intermediary (such as Flipkart Singapore).

Furthermore, the Court unsettled the established difference between being "liable to tax" and being "subject to tax." Historically, Indian jurisprudence required only that a taxpayer be *liable* to a jurisdiction's tax regime to claim treaty benefits, even if the effective tax rate applied was zero. However, in its ruling, the Supreme Court remarked that tax treaties are designed to prevent double taxation, not to facilitate double non-taxation or evasion, suggesting that a taxpayer must demonstrate that the transaction is actually *subject to tax* in the residence state to validly claim treaty relief.

Post-Judgment Fallout and Regulatory Interventions

The Supreme Court's interpretation of GAAR's temporal application created massive uncertainty for legacy investments. Under Rule 10U of the Income Tax Rules, investments made prior to April 1, 2017, were explicitly grandfathered from GAAR scrutiny. Tiger Global's investments were made between 2011 and 2015; however, the Court reasoned that because the tax benefit (the exit event) crystallized in 2018—after GAAR's enactment—the arrangement was still vulnerable to anti-avoidance measures.

This logic sparked widespread panic across the private equity and venture capital ecosystem, as funds feared retroactive taxation on all pre-2017 offshore investments. To stem the resulting crisis of confidence, the Central Board of Direct Taxes (CBDT) swiftly intervened in early 2026. The CBDT issued explicit clarifications affirming that GAAR provisions would unconditionally *not* apply to income arising from the transfer of investments made prior to April 1, 2017, regardless of when the actual transfer or tax benefit occurs.

Conclusion

While the CBDT's subsequent notifications provided necessary relief for grandfathered legacy investments, the *Tiger Global* judgment permanently alters the landscape for any investment structured after April 2017. The ruling enforces a stringent "substance over form" regime. Going forward, foreign investors must demonstrate genuine, robust economic substance and independent local management in their holding jurisdictions to withstand Indian tax scrutiny, as shell entities and mere TRCs will no longer suffice to unlock treaty benefits.